

Industry ↴

926 Entertainment—Films

926 Entertainment—Films

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

926-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Revenue	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	926-10-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	926-10-15-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

926-10-05-1	The Entertainment—Films Topic provides accounting and reporting guidance for entities in the film production and distribution industry for film costs , participation costs , and manufacturing costs.
-------------	--

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

926-10-15-1 The Subtopics within the Entertainment—[Films](#) Topic only provide incremental industry-specific guidance for the entities defined in this Scope Section, or as further defined in the Scope Section of the individual Entertainment—Films Subtopics. Entities within the scope of this Topic shall also comply with the applicable guidance not included in this Topic.

> Entities

926-10-15-2 The guidance in this Topic applies to all entities that are producers or distributors that own or hold rights to distribute or exploit all kinds of films in one or more [markets](#) and territories. This Topic also applies to films exploited by the entity directly, or licensed or sold to others.

> Transactions

926-10-15-3 The guidance in this Topic does not apply to the following transactions and activities:

- a. Accounting for the creation and distribution of recorded music products. For guidance on this subject, see Topic [928](#).
- b. Financial reporting by cable television entities. For guidance on this subject, see Topic [922](#).
- c. Financial reporting by broadcasters. For guidance on this subject, see Topic [920](#).
- d. Accounting for the costs of computer software to be sold, leased, or otherwise marketed. For guidance on this subject, see Topic [985](#).

e. [Subparagraph superseded by Accounting Standards Update No. 2014-09](#).

f. Accounting for the film and software costs associated with developing entertainment and educational software products. For guidance on this subject, see Subtopic [720-35](#).

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Film Costs

Film costs include all direct negative costs incurred in the physical production of a film, as well as allocations of production overhead and capitalized interest in accordance with Topic [835](#). Examples of direct negative costs include costs of story and scenario; compensation of cast, directors, producers, extras, and miscellaneous staff; costs of set construction and operations, wardrobe, and accessories; costs of sound synchronization; rental facilities on location; and postproduction costs such as music, special effects, and editing.

Films

Feature films, television specials, television series, or similar products (including animated films and television programming) that are sold, licensed, or exhibited, whether produced on film, video tape, digital, or other video recording format.

Market

A distribution channel within a certain territory. Examples of markets include theatrical exhibition, home video, pay television, free television, and the licensing of film-related products.

Participation Costs

Parties involved in the production of a film may be compensated in part by contingent payments based on the financial results of a film pursuant to contractual formulas (participations) and by contingent amounts due under provisions of collective bargaining agreements (residuals). Such parties are collectively referred to as participants, and such costs are collectively referred to as participation costs. Participations may be given to creative talent, such as actors or writers, or to entities from whom distribution rights are licensed.

926 Entertainment—Films

20 Other Assets—Film Costs

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

926-20-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Contract	Added	Accounting Standards Update No. 2014-09	05/28/2014
Film Group	Added	Accounting Standards Update No. 2019-02	03/06/2019
Initial Market	Superseded	Accounting Standards Update No. 2019-02	03/06/2019
Revenue	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Secondary Markets	Superseded	Accounting Standards Update No. 2019-02	03/06/2019
Significant Changes	Superseded	Accounting Standards Update No. 2019-02	03/06/2019
Significant Changes to a Film	Added	Accounting Standards Update No. 2019-02	03/06/2019
Spot Rate	Added	Accounting Standards Update No. 2014-06	03/14/2014
926-20-25-6	Superseded	Accounting Standards Update No. 2019-02	03/06/2019
926-20-25-6	Amended	Accounting Standards Update No. 2014-09	05/28/2014
926-20-25-7	Superseded	Accounting Standards Update No. 2019-02	03/06/2019
926-20-25-8	Amended	Accounting Standards Update No. 2019-02	03/06/2019
926-20-35-1	Amended	Accounting Standards Update No. 2019-02	03/06/2019
926-20-35-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
926-20-35-2	Amended	Accounting Standards Update No. 2019-02	03/06/2019
926-20-35-3A through 35-3C	Added	Accounting Standards Update No. 2019-02	03/06/2019
926-20-35-4	Amended	Accounting Standards Update No. 2019-02	03/06/2019
926-20-35-5	Amended	Accounting Standards Update No. 2014-09	05/28/2014
926-20-35-6	Amended	Accounting Standards Update No. 2014-09	05/28/2014
926-20-35-7	Amended	Accounting Standards Update No. 2014-06	03/14/2014
926-20-35-9 through 35-11	Superseded	Accounting Standards Update No. 2019-02	03/06/2019
926-20-35-12	Amended	Accounting Standards Update No. 2019-02	03/06/2019

926-20-35-12	Amended	Accounting Standards Update No. 2012-07	10/24/2012
926-20-35-12A	Added	Accounting Standards Update No. 2019-02	03/06/2019
926-20-35-12B	Added	Accounting Standards Update No. 2019-02	03/06/2019
926-20-35-13 through 35-17	Amended	Accounting Standards Update No. 2019-02	03/06/2019
926-20-35-14	Amended	Accounting Standards Update No. 2014-09	05/28/2014
926-20-35-18	Superseded	Accounting Standards Update No. 2012-07	10/24/2012
926-20-35-19	Added	Accounting Standards Update No. 2019-02	03/06/2019
926-20-40-4	Superseded	Accounting Standards Update No. 2019-02	03/06/2019
926-20-40-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014
926-20-40-5	Added	Accounting Standards Update No. 2019-02	03/06/2019
926-20-45-1	Superseded	Accounting Standards Update No. 2019-02	03/06/2019
926-20-45-2	Added	Accounting Standards Update No. 2019-02	03/06/2019
926-20-50-1	Superseded	Accounting Standards Update No. 2019-02	03/06/2019
926-20-50-1A	Added	Accounting Standards Update No. 2019-02	03/06/2019
926-20-50-2	Amended	Accounting Standards Update No. 2019-02	03/06/2019
926-20-50-3	Superseded	Accounting Standards Update No. 2019-02	03/06/2019
926-20-50-4	Superseded	Accounting Standards Update No. 2019-02	03/06/2019
926-20-50-4A	Amended	Accounting Standards Update No. 2024-03	11/04/2024
926-20-50-4A through 50-4C	Added	Accounting Standards Update No. 2019-02	03/06/2019
926-20-50-4C	Amended	Accounting Standards Update No. 2024-03	11/04/2024
926-20-55-2 through 55-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014
926-20-55-6 through 55-8	Amended	Accounting Standards Update No. 2014-09	05/28/2014
926-20-55-9 through 55-11	Superseded	Accounting Standards Update No. 2019-02	03/06/2019
926-20-55-12 through 55-15	Amended	Accounting Standards Update No. 2019-02	03/06/2019
926-20-55-13 through 55-15	Amended	Accounting Standards Update No. 2014-09	05/28/2014
926-20-65-1	Added	Accounting Standards Update No. 2012-07	10/24/2012
926-20-65-2	Added	Accounting Standards Update No. 2019-02	03/06/2019

05 Overview and Background

i General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may

contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

926-20-05-1 This Subtopic provides accounting guidance on the capitalization and amortization of the costs incurred by entities in the film production and distribution industry to produce and distribute the [films](#). Those costs are referred to as [film costs](#).

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

926-20-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [926-10-15](#).

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

[Contract](#)

An agreement between two or more parties that creates enforceable rights and obligations.

Exploitation Costs

All direct costs (including marketing, advertising, publicity, promotion, and other distribution expenses) incurred in connection with the distribution of a film.

Film Costs

Film costs include all direct negative costs incurred in the physical production of a film, as well as allocations of production overhead and capitalized interest in accordance with Topic 835. Examples of direct negative costs include costs of story and scenario; compensation of cast, directors, producers, extras, and miscellaneous staff; costs of set construction and operations, wardrobe, and accessories; costs of sound synchronization; rental facilities on location; and postproduction costs such as music, special effects, and editing.

Film Group

The unit of account used for impairment testing for a [film](#) or a [license agreement](#) for program material when the film or license agreement is expected to be predominantly monetized with other films and/or license agreements instead of being predominantly monetized on its own. A film group represents the lowest level for which identifiable cash flows are largely independent of the cash flows of other films and/or license agreements.

Films

Feature films, television specials, television series, or similar products (including animated films and television programming) that are sold, licensed, or exhibited, whether produced on film, video tape, digital, or other video recording format.

License Agreement

A typical license agreement for program material (for example, features, specials, series, or cartoons) covers several programs (a package) and grants a television station, group of stations, network, pay television, or cable television system (licensee) the right to broadcast either a specified number or an unlimited number of showings over a maximum period of time (license period) for a specified fee.

Market

A distribution channel within a certain territory. Examples of markets include theatrical exhibition, home video, pay television, free television, and the licensing of film-related products.

Nonrefundable Minimum Guarantee

Amount paid or payable by a customer in a variable fee arrangement that guarantees an entity a minimum fee on that arrangement. Such a guarantee applies to an amount paid by a customer immediately and an amount that the customer has a legally binding commitment to pay over a license period.

Overall Deal

An arrangement in which an entity compensates a producer or other creative individual for the exclusive or preferential use of that party's creative services.

Participation Costs

Parties involved in the production of a film may be compensated in part by contingent payments based on the financial results of a film pursuant to contractual formulas (participations) and by contingent amounts due under provisions of collective bargaining agreements (residuals). Such parties are collectively referred to as participants, and such costs are collectively referred to as participation costs. Participations may be given to creative talent, such as actors or writers, or to entities from whom distribution rights are licensed.

Producer

An individual or an entity that produces and has a financial interest in films for exhibition in movie theaters, on television, or elsewhere.

Set for Production

This means that management, with the relevant authority, implicitly or explicitly authorizes and commits to funding the production of a film; active preproduction has begun; and the start of principal photography is expected to begin within six months.

Significant Changes to a Film

Changes that are additive to a film; that is, the creation of new or additional content after the film is initially available to the customer. For example, reshooting a scene or creating additional special effects are significant changes.

Spot Rate

The exchange rate for immediate delivery of currencies exchanged.

Territory

A geographic area in which a film is exploited. In most cases, a territory consists of a country. However, in certain instances, a territory may be defined as countries with a common language.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Film Costs Capitalization

926-20-25-1 An entity shall report **film costs** as a separate asset on its balance sheet.

> Production Overhead

926-20-25-2 Production overhead is a component of film costs. It includes allocable costs of individuals or departments with exclusive or significant responsibility for the production of [films](#). Production overhead shall not include administrative and general expenses, the costs of certain overall deals, as discussed in paragraph [926-20-25-4](#), or charges for losses on properties sold or abandoned, as discussed in paragraphs [926-20-40-1 through 40-3](#).

> Overall Deals

926-20-25-3 An entity may enter into an arrangement known as an [overall deal](#).

926-20-25-4 An entity shall record a reasonable proportion of costs of overall deals as specific project film costs to the extent those costs are directly related to the acquisition, adaptation, or development of specific projects. If related to properties as discussed in paragraphs [926-20-40-1 through 40-3](#), an entity shall include such amounts in the cost of properties subject to the periodic review. An entity shall not allocate to specific project film costs amounts that it had previously expensed.

> Rights to Film Properties

926-20-25-5 Film costs ordinarily include expenditures for properties (such as film rights to books, stage plays, or original screenplays) that generally must be adapted to serve as the basis for the production of a particular film. An entity will add the cost of adaptation or development to the cost of the particular property.

926-20-25-6 [Paragraph superseded by Accounting Standards Update No. 2019-02.](#)

926-20-25-7 [Paragraph superseded by Accounting Standards Update No. 2019-02.](#)

> Significant Changes to a Film

926-20-25-8 The costs incurred for [significant changes to a film](#) shall be added to film costs and subsequently charged to expense when an entity recognizes the related revenue.

926-20-25-9 Mere insertion or addition of preexisting film footage, addition of dubbing or subtitles (which by definition is done to existing footage), removal of offensive language, reformatting of a film to fit a broadcaster's screen dimensions, and adjustments to allow for the insertion of commercials are all examples of changes to a film that are not significant.

35 Subsequent Measurement

 **General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to

carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Film Costs Amortization

926-20-35-1 For a film that is predominantly monetized on its own, an entity shall amortize [film costs](#) using the individual-film-forecast-computation method, which amortizes such costs in the same ratio that current period actual revenue (numerator) bears to estimated remaining unrecognized ultimate revenue as of the beginning of the current fiscal year (denominator). In this way, in the absence of changes in estimates, film costs are amortized in a manner that yields a constant rate of profit over the ultimate period, as described in paragraph [926-20-35-5\(a\)](#), for each film before [exploitation costs](#), manufacturing costs, and other period expenses. Unamortized film costs as of the beginning of the current fiscal year are multiplied by the individual-film-forecast-computation method fraction. That is, an entity shall begin amortization of capitalized film costs when a film is released and it begins to recognize revenue from that film. For more information, see Example 1 (paragraph [926-20-55-1](#)). For a film that is predominantly monetized on its own but also monetized with other films and/or license agreements, an entity shall make a reasonably reliable estimate of the value attributable to the film's exploitation while monetized with other films and/or license agreements for inclusion in its individual-film-forecast computation. For purposes of applying the individual-film-forecast-computation method to episodic television series, multiple seasons of an episodic television series are considered to be a single product. For more information, see Example 4 (paragraph [926-20-55-12](#)).

926-20-35-2 For a film that is in a [film group](#), an entity shall make a reasonably reliable estimate of the portion of unamortized film costs that is representative of the use of the film. An entity shall expense such amounts as it exhibits or exploits the film. (For example, an entity with a direct-to-consumer streaming platform that does not accept advertising on its platform may produce a film and only show it on its platform. In this example, the entity receives subscription fees from third parties that are not directly related to a particular film.)

926-20-35-3 As a result of uncertainties in the estimating process, actual results may vary from estimates. An entity shall review and revise estimates of ultimate revenue as of each reporting date to reflect the most current available information. If estimates are revised, an entity shall determine a new denominator that includes only the ultimate revenue from the beginning of the fiscal year of change (that is, ultimate revenue changes are treated prospectively as of the beginning of the fiscal year of change). The numerator (revenue for the current fiscal year) is unaffected by the change. An entity shall apply the revised fraction to the net carrying amount of unamortized film costs as of the beginning of the fiscal year, and the difference between expenses determined using the new estimates and any amounts previously expensed during that fiscal year shall be charged or credited to the income statement in the period (for example, the quarter) during which the estimates are revised. For more information, see Example 2 (paragraph [926-20-55-5](#)).

926-20-35-3A An entity shall review and revise estimates of the remaining use of the film for film costs amortized in accordance with paragraph [926-20-35-2](#) as of each reporting date to reflect the most current available information. Changes to estimates of the remaining use of a film shall be accounted for prospectively.

> Predominant Monetization Strategy

- 926-20-35-3B** An entity shall determine whether a film is part of a film group when capitalization of film costs begins by assessing whether it is expected to be predominantly monetized on its own or predominantly monetized with other films and/or license agreements.
- 926-20-35-3C** If there is a significant change to the monetization strategy of a film compared with the monetization strategy determined when capitalization of film costs began, an entity shall reassess the predominant monetization strategy for that film. The reassessment of the predominant monetization strategy shall include an assessment of the monetization strategy throughout the entire life of the film rather than an assessment from the time of the significant change in monetization strategy. Two examples of a significant change to the monetization strategy of a film are adding a previously unplanned significant distribution channel and forgoing a previously planned significant distribution channel. For purposes of determining whether there is a significant change to the monetization strategy, results of the monetization strategy that are different from the expected results shall not be considered a significant change to the monetization strategy.

> Ultimate Revenue

- 926-20-35-4** Ultimate revenue to be included in the denominator of the individual-film-forecast-computation method fraction shall include estimates of revenue that is expected to be recognized by an entity from the exploitation, exhibition, and sale of a film in all markets and territories, subject to the limitations set forth in paragraph [926-20-35-5](#).
- 926-20-35-5** Ultimate revenue shall be limited by the following:
- For [films](#) other than episodic television series, ultimate revenue shall include estimates over a period not to exceed 10 years following the date of the film's initial release. For episodic television series, ultimate revenue shall include estimates of revenue over a period not to exceed 10 years from the date of delivery of the first episode or, if still in production, 5 years from the date of delivery of the most recent episode, if later. For previously released films acquired as part of a film library, ultimate revenue shall include estimates over a period not to exceed 20 years from the date of acquisition. For the purposes of this Topic, an entity shall categorize as part of a film library only those individual films whose initial release dates were at least three years prior to the acquisition date.
 - Ultimate revenue shall include estimates of revenue from a [market](#) or [territory](#) only if persuasive evidence exists that such revenue will occur, or if an entity can demonstrate a history of recognizing such revenue in that market or territory. Ultimate revenue shall include estimates of revenue from newly developing territories only if an existing arrangement provides persuasive evidence that an entity will realize such amounts.
 - Ultimate revenue shall include estimates of revenue from licensing arrangements with third parties to market film-related products only if persuasive evidence exists that such revenue from that arrangement will occur for that particular film (such as a signed contract to receive a [nonrefundable minimum guarantee](#) or a nonrefundable advance) or if an entity can demonstrate a history of recognizing such revenue from that form of arrangement.
 - Ultimate revenue shall include estimates of the portion of the wholesale or retail revenue from an entity's sale of peripheral items (such as toys and apparel) that is attributable to the exploitation of themes, characters, or other contents related to a particular film only if the entity can demonstrate a history of recognizing such revenue from that form of exploitation in similar kinds of films. For example, an entity may conclude that the portion of revenue from the sale of peripheral items that it shall include in ultimate revenue is an estimate of what would be recognized by the entity if rights for such form of exploitation had been granted under licensing arrangements with third parties. Ultimate revenue shall not, however, include estimates of the entire amount of wholesale or retail revenue from an entity's sale of peripheral items.
 - Ultimate revenue shall not include estimates of revenue from unproven or undeveloped technologies.

f. Ultimate revenue shall not include estimates of wholesale promotion or advertising reimbursements to be received from third parties. Such amounts shall be offset against exploitation costs.

g. Ultimate revenue shall not include estimates of amounts related to the sale of film rights for periods after those identified in (a).

926-20-35-6 An entity shall not discount ultimate revenue to its present value except when a significant financing component is identified (see paragraphs [606-10-32-15 through 32-20](#)) in a [contract](#) in which an entity promises to grant a license within the scope of Topic [606](#).

926-20-35-7 All foreign currency estimates of future revenues shall be based on current [spot rates](#).

926-20-35-8 Ultimate revenue shall not include amounts representing projections for future inflation.

926-20-35-9 [Paragraph superseded by Accounting Standards Update No. 2019-02.](#)

926-20-35-10 [Paragraph superseded by Accounting Standards Update No. 2019-02.](#)

926-20-35-11 [Paragraph superseded by Accounting Standards Update No. 2019-02.](#)

> Impairment

926-20-35-12 Unamortized film costs shall be tested for impairment whenever events or changes in circumstances indicate that the fair value of a film predominantly monetized on its own (see paragraph [926-20-35-12A](#)) or a [film group](#) (see paragraph [926-20-35-12B](#)) may be less than its unamortized costs.

926-20-35-12A The following are examples of events or changes in circumstances that indicate that an entity shall assess whether the fair value of a film (whether completed or not) is less than its unamortized film costs:

- a. An adverse change in the expected performance of a film prior to release
- b. Actual costs substantially in excess of budgeted costs
- c. Substantial delays in completion or release schedules
- d. Changes in release plans, such as a reduction in the initial release pattern
- e. Insufficient funding or resources to complete the film and to market it effectively
- f. Actual performance subsequent to release failing to meet expectations set before release due to factors such as the following:
 1. A significant adverse change in technological, regulatory, legal, economic, or social factors that could affect the public's perception of a film or the availability of a film for future showings
 2. A significant decrease in the amount of ultimate revenue expected to be recognized.
- g. A change in the predominant monetization strategy of a film resulting in the film being predominantly monetized with other films and/or license agreements.

926-20-35-12B The following are examples of events or changes in circumstances for a film group that indicate that an entity shall assess whether the fair value of a film group is less than its unamortized film costs:

- a. A significant adverse change in technological, regulatory, legal, economic, or social factors that could affect the fair value of the film group
- b. A significant decrease in the number of subscribers or forecasted subscribers, or the loss of a major distributor

c. A current-period operating or cash flow loss combined with a history of operating or cash flow losses or a projection of continuing losses associated with the use or exploitation of a film group.

926-20-35-13 If an event or change in circumstance indicates that an entity shall assess whether the fair value of a film (or film group) is less than its unamortized film costs, the entity shall determine the fair value of the film (or film group) (the determination of which is affected by estimated future exploitation costs still to be incurred) and write off to the income statement the amount by which the unamortized capitalized costs exceed the film's (or film group's) fair value. Exploitation costs incurred after such a write-off shall be accounted for in accordance with the provisions of paragraphs [926-720-25-2 through 25-3](#). An entity shall treat the reduced amount of capitalized film costs that have been written down to fair value (subject to paragraph [926-20-35-19](#) for films in a film group) at the close of an annual fiscal period as the cost for subsequent accounting purposes, and an entity shall not subsequently restore any amounts previously written off.

926-20-35-14 A discounted cash flow model may be used to estimate fair value. If applicable, future cash flows based on the terms of any existing contractual arrangements, including cash flows over existing license periods without consideration of the limitations set forth in paragraph [926-20-35-5](#), shall be included.

926-20-35-15 An entity shall consider the following factors, among others, in estimating future cash inflows for a film:

- a. If previously released, the film's performance in prior markets
- b. The public's perception of the film's story, cast, director, or [producer](#)
- c. Historical results of similar films
- d. Historical results of the cast, director, or producer on prior films
- e. Running time of the film.

In determining a film's (or film group's) fair value, it is also necessary to consider those cash outflows necessary to generate the film's (or film group's) cash inflows. Therefore, an entity shall incorporate, if applicable, its estimates of future costs to complete a film, future exploitation and [participation costs](#), or other necessary cash outflows in its determination of fair value when using a discounted cash flow model.

926-20-35-16 When using the traditional discounted cash flow approach to estimate the fair value of a film (or film group), the relevant future cash inflows and outflows shall represent the entity's estimate of the most likely cash flows. When determining the fair value of a film (or film group) using the expected cash flow approach, all possible relevant future cash inflows and outflows shall be probability-weighted by period and the estimated mean or average by period shall be used.

926-20-35-17 When determining the fair value of a film (or film group) using a traditional discounted cash flow approach, the discount rate(s) shall not be an entity's incremental borrowing rate(s), liability settlement rate(s), or weighted average cost of capital because those rates typically do not reflect the risks associated with a particular film (or film group). The discount rate(s) shall consider the time value of money and the expectations about possible variations in the amount or timing of the most likely cash flows and an element to reflect the price market participants would seek for bearing the uncertainty inherent in such an asset, as well as other factors, sometimes unidentifiable, including illiquidity and market imperfections. When determining the fair value of a film (or film group) using the expected cash flow approach, the discount rate(s) also would consider the time value of money. Because they are reflected in the expected cash flows, there would be no adjustment for possible variations in the amounts or timing of those cash flows. If not reflected in risk-adjusted expected cash flows, an additional element to reflect the price market participants would seek for bearing the uncertainty inherent in such an asset as well as other factors, sometimes unidentifiable, including illiquidity and market imperfections, shall be added to the discount rate(s).

926-20-35-18 [Paragraph superseded by Accounting Standards Update No. 2012-07.](#)

· > Allocating Impairment Losses to a Film Group

926-20-35-19 An impairment loss attributable to a film group shall reduce only the carrying amounts of a film or license agreement included in that film group. The loss shall be allocated to the films and license agreements within the film group on a pro rata basis using the relative carrying amounts of those assets. However, if an entity can estimate the fair value of individual films and license agreements in the film group without undue cost and effort, it shall not reduce the carrying amount of those films below their fair value.

40 Derecognition

i General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

> Film Properties

926-20-40-1 An entity shall periodically review properties in development to determine whether they will ultimately be used in the production of a film. It shall be presumed that an entity will dispose of a property (whether by sale or abandonment) if it has not been [set for production](#) within three years from the time of the first capitalized transaction.

926-20-40-2 If an entity determines that a film property will not be used (disposed of), it shall recognize any loss by a charge to the income statement. Amounts written off shall not be subsequently reestablished as assets.

926-20-40-3 An entity shall measure the loss as the amount by which the carrying amount of the project exceeds its fair value. Unless management, having the authority to approve the action, has committed to a plan to sell such property, the rebuttable presumption is that the entity will abandon the property and, as such, its fair value shall be zero.

926-20-40-4 [Paragraph superseded by Accounting Standards Update No. 2019-02.](#)

926-20-40-5 An entity shall write off remaining unamortized film costs when a film is substantively abandoned.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Film Costs

926-20-45-1 Paragraph superseded by Accounting Standards Update No. 2019-02.

926-20-45-2 **Film costs** shall be presented separately from the rights acquired under a **license agreement** for program materials within the scope of Subtopic **920-350** on entertainment—broadcasters either on the balance sheet or in the notes to financial statements.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

 [Related Proposed ASUs](#)

> Film Costs

926-20-50-1 Paragraph superseded by Accounting Standards Update No. 2019-02.

926-20-50-1A An entity shall disclose its methods of accounting for **film costs**, including, but not limited to, the following:

- a. The method(s) used in computing amortization
- b. For impairment, a description of the unit(s) of account used for impairment testing and the method(s) used for determining fair value.

926-20-50-2 An entity shall disclose the components of film costs (including released, completed and not released, in production, or in development or preproduction) separately for [films](#) predominantly monetized on their own and films predominantly monetized with other films and/or license agreements.

926-20-50-3 Paragraph superseded by Accounting Standards Update No. 2019-02.

926-20-50-4 Paragraph superseded by Accounting Standards Update No. 2019-02.

926-20-50-4A An entity shall disclose the following information in the financial statements or in the notes to financial statements for each period for which a statement of financial performance is presented:

- a. The aggregate amortization expense for each period, separately for films predominantly monetized on their own and films predominantly monetized with other films and/or license agreements
- b. The caption in the income statement where the amortization is recorded.

 PENDING CONTENT



Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [220-40-65-1](#)

An entity shall disclose the following information in the financial statements or in the notes to financial statements for each period for which a statement of financial performance is presented:

- a. The aggregate amortization expense for each period, separately for films predominantly monetized on their own and films predominantly monetized with other films and/or license agreements
- b. The caption in the income statement where the amortization is recorded.

See paragraphs [220-40-50-21 through 50-25](#) for additional disclosure requirements.

926-20-50-4B For the most recent annual period for which a statement of financial position is presented, an entity shall disclose the following in the notes to financial statements, separately for films predominantly monetized on their own and for films predominantly monetized with other films and/or license agreements:

- a. For completed and not released films, the portion of the costs of completed films that an entity expects to amortize during the upcoming operating cycle. An operating cycle is presumed to be 12 months. An entity shall disclose its operating cycle if it is other than 12 months.
- b. For released films, the portion of the costs of released films recognized at the date of the most recent statement of financial position that an entity expects to amortize within each of the next three operating cycles.

926-20-50-4C For impairment amounts recognized for films or [film groups](#), an entity shall disclose the following information in the notes to financial statements that include the period in which the impairment is recognized:

- a. A general description of the facts and circumstances leading to the impairment
- b. The aggregate amount of impairment losses
- c. The caption in the income statement where the impairment losses are recorded
- d. If applicable, the segment(s) under Topic [280](#) where the impairment losses are recorded.

 PENDING CONTENT


Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [220-40-65-1](#)

For impairment amounts recognized for films or [film groups](#), an entity shall disclose the following information in the notes to financial statements that include the period in which the impairment is recognized:

- a. A general description of the facts and circumstances leading to the impairment
- b. The aggregate amount of impairment losses
- c. The caption in the income statement where the impairment losses are recorded
- d. If applicable, the segment(s) under Topic [280](#) where the impairment losses are recorded.

See paragraphs [220-40-50-21 through 50-25](#) for additional disclosure requirements.

> Film Libraries

926-20-50-5 For acquired film libraries, an entity shall disclose the amount of remaining unamortized costs, the method of amortization, and the remaining amortization period.

55 Implementation Guidance and Illustrations

 **General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

· > Example 1: Film Cost Amortization

926-20-55-1 This Example provides an illustration of the individual-film-forecast method of amortization for a film in its initial year of release (in accordance with paragraph [926-20-35-1](#)).

926-20-55-2 This Example has the following assumptions:

- a. Film cost: \$50,000
- b. Estimated ultimate revenue: \$100,000

- c. Actual revenue recognized in Year 1: \$60,000
- d. Estimated ultimate [participation costs](#): \$10,000.

926-20-55-3 Film cost amortization in Year 1:
 $\$60,000 \text{ recognized revenue} / \$100,000 \text{ ultimate revenue} \times \$50,000 \text{ film cost} = \$30,000$

926-20-55-4 Participation costs accrued in Year 1:
 $\$60,000 \text{ recognized revenue} / \$100,000 \text{ ultimate revenue} \times \$10,000 \text{ ultimate participation costs} = \$6,000$

· > Example 2: Film Costs Amortization—Revised Estimates

926-20-55-5 This Example provides an illustration of the individual-film-forecast method of amortization for a film where estimates are revised subsequent to the initial year of release (in accordance with paragraph [926-20-35-3](#)).

926-20-55-6 This Example has the following assumptions:

- a. Film cost: \$50,000
- b. Estimated ultimate revenue:
 - 1. Year 1: \$100,000
 - 2. Year 2: \$90,000 (Note: not the remaining ultimate revenue starting from this year).
- c. Actual revenue recognized:
 - 1. In Year 1: \$60,000
 - 2. In Year 2: \$10,000.
- d. Estimated ultimate participation costs:
 - 1. Year 1: \$10,000
 - 2. Year 2: \$9,000 (Note: not the remaining ultimate participation costs starting from this year).
- e. For Year 1, film cost amortization was \$30,000 and participation costs accrued were \$6,000.
- f. Year 2 revised ultimate revenue is \$90,000.

926-20-55-7 Film Cost amortization in Year 2:
 $\$10,000 \text{ recognized revenue} / \$30,000 \text{ remaining ultimate revenue} \times \$20,000 \text{ unamortized } [film costs](#) = \$6,667$. The \$30,000 remaining ultimate revenue is computed as follows: Year 2 revised ultimate revenue of \$90,000 minus cumulative prior recognized revenue of \$60,000. The \$20,000 unamortized film costs is computed as follows: Film cost of \$50,000 minus cumulative prior amortization of \$30,000.

926-20-55-8 Participation costs accrued in Year 2:
 $\$10,000 \text{ recognized revenue} / \$30,000 \text{ remaining ultimate revenue} \times \$3,000 \text{ remaining ultimate participation costs} = \$1,000$. The \$30,000 remaining ultimate revenue is computed as follows: Year 2 revised ultimate revenue of \$90,000 minus cumulative prior recognized revenue of \$60,000. The \$3,000 remaining ultimate participation costs is as follows: Year 2 revised ultimate participation expense of \$9,000 minus cumulative prior accrual of \$6,000.

926-20-55-9 Paragraph superseded by Accounting Standards Update No. 2019-02.

926-20-55-10 Paragraph superseded by Accounting Standards Update No. 2019-02.

926-20-55-11 Paragraph superseded by Accounting Standards Update No. 2019-02.

· > Example 4: Episodic Television Series—Individual-Film-Forecast-Computation Method

926-20-55-12 This Example provides an illustration of the individual-film-forecast method of amortization for an episodic television series with multiple seasons (in accordance with paragraph 926-20-35-1).

- 926-20-55-13** This Example has the following assumptions:
- a. An entity produces and distributes an episodic television series. Two seasons of the series are ultimately produced.
 - b. The entity's fiscal year end corresponds directly with the completion of each production season.
 - c. Subparagraph superseded by Accounting Standards Update No. 2019-02.
 - d. Costs of production are the following:
 - 1. Subparagraph superseded by Accounting Standards Update No. 2019-02.
 - 2. Season 1: \$16,000
 - 3. Season 2: \$18,000.
 - e. Recognized and remaining ultimate revenues are the following.

As of Season 1	
Recognized and reported in Season 1	\$ 8,000
Recognized and reported in Season 2	N/A
Remaining ultimate revenue, Season 1	\$ 40,000
Remaining ultimate revenue, Season 2	N/A
	<u>\$ 48,000</u>
As of Season 2	
Recognized and reported in Season 1	N/A
Recognized and reported in Season 2	\$ 11,000
Remaining ultimate revenue, Season 1	\$ 40,000
Remaining ultimate revenue, Season 2	\$ 10,000
	<u>\$ 61,000</u>

- f. Ultimate participation costs are as follows.

As of Season 1	\$ 2,000
As of Season 2	\$ 3,000

926-20-55-14 Amortization of film costs in accordance with paragraph 926-20-35-1 is determined as follows for Seasons 1 and 2.

Season 1

\$ 8,000

(a)

\$ 48,000

(b)

x

\$ 16,000

(c)

=

\$2,667

(a) Recognized and reported revenue during the current season.

(b) Remaining ultimate revenue at the beginning of the current season.

(c) Remaining unamortized film costs at the beginning of Season 1.

Season 2

\$ 11,000

(a)

\$ 61,000

(b)

x

\$ 31,333

(c)

=

\$5,650

(a) Recognized and reported revenue during the current season.

(b) Remaining ultimate revenue at the beginning of the current season.

(c) Remaining unamortized film costs at the beginning of Season 2 (\$13,333 unamortized as of the end of Season 1 plus the \$18,000 cost of production of Season 2).

926-20-55-15 Accrual of participation costs is determined as follows.

Season 1
$$\frac{\$ \quad 8,000^{(a)}}{\$ \quad 48,000^{(b)}} \times \$ \quad 2,000^{(c)} = \$333$$

- (a) Recognized and reported revenue during the current season.
- (b) Remaining ultimate revenue at the beginning of the current season.
- (c) Remaining unaccrued participation costs at the beginning of Season 1.

Season 2
$$\frac{\$ \quad 11,000^{(a)}}{\$ \quad 61,000^{(b)}} \times \$ \quad 2,667^{(c)} = \$481$$

- (a) Recognized and reported revenue during the current season.
- (b) Remaining ultimate revenue at the beginning of the current season.
- (c) Remaining unaccrued participation costs at the beginning of Season 2 (ultimate cost of \$3,000, less prior cumulative accrual of \$333).

65 Transition and Open Effective Date Information

i General Note:The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

926-20-65-1 Paragraph superseded on 06/26/2015 after the end of the transition period stated in Accounting Standards Update No. 2012-07, *Entertainment—Films (Topic 926): Accounting for Fair Value Information That Arises after the Measurement Date and Its Inclusion in the Impairment Analysis of Unamortized Film Costs*.

926-20-65-2 Paragraph superseded on 12/14/2022 after the end of the transition period stated in Accounting Standards Update No. 2019-02, *Entertainment—Films—Other Assets—Film Costs (Subtopic 926-20) and Entertainment—Broadcasters—Intangibles—Goodwill and Other (Subtopic 920-350): Improvements to Accounting for Costs of Films and License Agreements for Program Materials*.

926 Entertainment—Films

230 Statement of Cash Flows

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

926-230-05-1 This Subtopic provides guidance to entities in the film production and distribution industry on the classification in the statement of cash flows of certain costs incurred to produce and [market films](#). This Subtopic also provides guidance for presenting the amortization of [film costs](#) in the statement of cash flows.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

926-230-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [926-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Exploitation Costs

All direct costs (including marketing, advertising, publicity, promotion, and other distribution expenses) incurred in connection with the distribution of a film.

Film Costs

Film costs include all direct negative costs incurred in the physical production of a film, as well as allocations of production overhead and capitalized interest in accordance with Topic 835. Examples of direct negative costs include costs of story and scenario; compensation of cast, directors, producers, extras, and miscellaneous staff; costs of set construction and operations, wardrobe, and accessories; costs of sound synchronization; rental facilities on location; and postproduction costs such as music, special effects, and editing.

Films

Feature films, television specials, television series, or similar products (including animated films and television programming) that are sold, licensed, or exhibited, whether produced on film, video tape, digital, or other video recording format.

Market

A distribution channel within a certain territory. Examples of markets include theatrical exhibition, home video, pay television, free television, and the licensing of film-related products.

Participation Costs

Parties involved in the production of a film may be compensated in part by contingent payments based on the financial results of a film pursuant to contractual formulas (participations) and by contingent amounts due under provisions of collective bargaining agreements (residuals). Such parties are collectively referred to as participants, and such costs are collectively referred to as participation costs. Participations may be given to creative talent, such as actors or writers, or to entities from whom distribution rights are licensed.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Reporting Cash Flows

926-230-45-1 An entity shall report cash outflows for [film costs](#), [participation costs](#), [exploitation costs](#), and manufacturing costs as operating activities in the statement of cash flows, and it shall include the amortization of film costs in the reconciliation of net income to net cash flows from operating activities.

926 Entertainment—Films

330 Inventory

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

926-330-05-1 This Subtopic presents accounting standards for entities in the film production and distribution industry that carry inventories of products such as videocassettes and video discs.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

926-330-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [926-10-15](#).

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Products Held for Sale

926-330-35-1 An entity shall, at each balance sheet date, evaluate inventories of products held for sale, such as videocassettes and digital video discs, for net realizable value and obsolescence exposures, with appropriate adjustments recorded as necessary.

926 Entertainment—Films

405 Liabilities

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

926-405-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Revenue	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Significant Changes	Superseded	Accounting Standards Update No. 2019-02	03/06/2019
	Significant Changes to a Film	Added	Accounting Standards Update No. 2019-02	03/06/2019
	926-405-25-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	926-405-55-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	926-405-55-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	926-405-55-5	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	926-405-55-6	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

926-405-05-1 This Subtopic provides guidance to entities in the film production and distribution industry on the accounting for costs incurred to compensate third parties involved in the production of a film, such as actors or writers. These costs are referred to as [participation costs](#). This Subtopic also addresses the accounting for costs incurred to make insignificant changes to a film after its initial availability to a customer.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

926-405-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [926-10-15](#).

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

[Exploitation Costs](#)

All direct costs (including marketing, advertising, publicity, promotion, and other distribution expenses) incurred in connection with the distribution of a film.

Film Costs

Film costs include all direct negative costs incurred in the physical production of a film, as well as allocations of production overhead and capitalized interest in accordance with Topic 835. Examples of direct negative costs include costs of story and scenario; compensation of cast, directors, producers, extras, and miscellaneous staff; costs of set construction and operations, wardrobe, and accessories; costs of sound synchronization; rental facilities on location; and postproduction costs such as music, special effects, and editing.

Films

Feature films, television specials, television series, or similar products (including animated films and television programming) that are sold, licensed, or exhibited, whether produced on film, video tape, digital, or other video recording format.

Participation Costs

Parties involved in the production of a film may be compensated in part by contingent payments based on the financial results of a film pursuant to contractual formulas (participations) and by contingent amounts due under provisions of collective bargaining agreements (residuals). Such parties are collectively referred to as participants, and such costs are collectively referred to as participation costs. Participations may be given to creative talent, such as actors or writers, or to entities from whom distribution rights are licensed.

Significant Changes to a Film

Changes that are additive to a film; that is, the creation of new or additional content after the film is initially available to the customer. For example, reshooting a scene or creating additional special effects are significant changes.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

i General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Participation Costs

- 926-405-25-1** An entity shall accrue (expense) [participation costs](#) using the individual-film-forecast-computation method, which accrues (expenses) such costs in the same ratio that current period actual revenue (numerator) bears to estimated remaining unrecognized ultimate revenue as of the beginning of the current fiscal year (denominator). That is, unaccrued (not yet expensed) ultimate participation costs at the beginning of the current fiscal year are multiplied by the individual-film-forecast-computation method fraction. In this way, in the absence of changes in estimates, participation costs are accrued (expensed) in a manner that yields a constant rate of profit over the ultimate period, as described in paragraph [926-20-35-5\(a\)](#), for each film before [exploitation costs](#), manufacturing costs, and other period expenses.
- 926-405-25-2** An entity shall accrue a liability for participation costs only if it is probable that there will be a sacrifice of assets to settle its obligation under the terms of the participation agreement. At each balance sheet date, accrued participation costs shall not be less than the amounts that an entity is obligated to pay as of that date.
- 926-405-25-3** An entity shall begin accruing (expensing) participation costs when a film is released and it begins to recognize revenue from that film.
- 926-405-25-4** Estimates of unaccrued (that is, not yet expensed) ultimate participation costs are used in the individual-film-forecast-computation method to arrive at current period participation cost expense. Such costs shall be determined using assumptions that are consistent with an entity's estimates of [film costs](#), exploitation costs, and ultimate revenue, as limited by paragraphs [926-20-35-5](#) and [926-20-35-11](#).
- 926-405-25-5** A film may continue to generate revenue after its film costs are fully amortized. When revenue is recorded on fully amortized [films](#), an entity shall accrue associated participation costs as that revenue is recognized.

> Costs Incurred for Insignificant Changes to a Film

- 926-405-25-6** A licensing arrangement may require an entity to make changes to a film after its initial availability to a customer. Those changes may be deemed [significant](#) or not significant. Any costs expected to be incurred for changes that are not significant shall be accrued and charged to expense if an entity begins to recognize revenue from the arrangement before incurring those costs.

35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Ultimate Participation Costs

- 926-405-35-1** If, at any balance sheet date, the recognized [participation costs](#) liability exceeds the estimated unpaid ultimate participation costs for an individual film, the excess liability shall be reduced with an offsetting credit to unamortized [film costs](#). To the extent that an excess liability exceeds unamortized film costs for that film, that excess liability shall be credited to income. For more information, see Example 1 (paragraph [926-405-55-1](#)).
- 926-405-35-2** For the accounting of revised estimates of participation costs, see paragraph [926-20-35-3](#).

50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Accrued Participation Liabilities

- 926-405-50-1** An entity shall disclose the amount of accrued participation liabilities that it expects to pay during the upcoming operating cycle.

> Participation Costs

- 926-405-50-2** An entity shall disclose its methods of accounting for [participation costs](#).

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

· > Example 1: Participation Liabilities

926-405-55-1 This Example illustrates the adjustment of a participation liability that is in excess of a revised estimate of amounts ultimately payable (in accordance with paragraph [926-405-35-1](#)).

926-405-55-2 In accordance with paragraph [926-405-35-1](#), a participation liability that exceeds the unpaid amount expected to be ultimately payable shall be offset against the remaining carrying value of the corresponding film. This scenario can result from changes in ultimate revenue and cost estimates that result in reduced expectations of ultimate [participation costs](#).

926-405-55-3 Assume the following:

- a. Film cost: \$50,000
- b. Estimated ultimate revenue:
 - 1. Year 1: \$100,000
 - 2. Year 2: \$80,000.
- c. Actual revenue recognized:
 - 1. In Year 1: \$60,000
 - 2. In Year 2: \$10,000.
- d. Estimated ultimate participation costs:
 - 1. Year 1: \$10,000
 - 2. Year 2: \$0.
- e. For Year 1, film cost amortization was \$30,000, and participation costs accrued were \$6,000.

926-405-55-4 Adjustments of Participation Liability and [Film Costs](#) in Year 2.

	Unamortized Film Costs	Participation Liability
Balance at end of Year 1	\$ 20,000	\$ 6,000
Adjustment to eliminate excess liability	(6,000)	(6,000)
Adjusted balances	\$ 14,000	\$ -

926-405-55-5

Film cost amortization in Year 2:

\$10,000 recognized revenue/\$20,000 remaining ultimate revenue x \$14,000 unamortized film costs = \$7,000

The \$20,000 remaining ultimate revenue is computed as follows: Year 2 revised ultimate revenue of \$80,000 minus cumulative prior recognized revenue of \$60,000.

The \$14,000 unamortized film costs is computed as follows: Film cost of \$50,000 minus cumulative prior amortization of \$30,000 and minus the excess participation liability adjustment of \$6,000.

926-405-55-6

Participation costs accrued in Year 2:

\$10,000 recognized revenue/\$20,000 remaining ultimate revenue x \$0 remaining ultimate participation costs = \$0

The \$20,000 remaining ultimate revenue is computed as follows: Year 2 revised ultimate revenue of \$80,000 minus cumulative prior recognized revenue of \$60,000.

Estimated ultimate participation costs were reduced to \$0 in Year 2; accordingly, the excess liability was reversed and no further accruals are required.

926 Entertainment—Films

430 Deferred Revenue

00 Status

i

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

926-430-00-1

The following table identifies the changes made to this Subtopic.			
Paragraph	Action	Accounting Standards Update	Date
Revenue	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
926-430-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

926-430-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
926-430-25-1 through 25-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

926-430-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

926-430-15-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master

Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

926-430-25-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

926-430-25-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

926-430-25-3 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

926 Entertainment—Films

605 Revenue Recognition

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related

Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

926-605-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Cross-Collateralized	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Distributor (1st def.)	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Films	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Market (1st def.)	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Nonrefundable Minimum Guarantee	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Participation Costs	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Producer	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Revenue	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Significant Changes	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Street Date	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Territory	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
926-605-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
926-605-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
926-605-25-1 through 25-31	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
926-605-25-16	Amended	Accounting Standards Update No. 2011-04	05/12/2011
926-605-50-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
926-605-55-1 through 55-13	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

926-605-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

926-605-15-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

926-605-25-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

926-605-25-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

926-605-25-3	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-4	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-5	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-6	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-7	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-8	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-9	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-10	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-11	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-12	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-13	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-14	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-15	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-16	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-17	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-18	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-19	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-20	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-21	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-22	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-23	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-24	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-25	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-26	Paragraph superseded by Accounting Standards Update No. 2014-09.
926-605-25-27	Paragraph superseded by Accounting Standards Update No. 2014-09.

- 926-605-25-28** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 926-605-25-29** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 926-605-25-30** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 926-605-25-31** Paragraph superseded by Accounting Standards Update No. 2014-09.

50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

- 926-605-50-1** Paragraph superseded by Accounting Standards Update No. 2014-09.

55 Implementation Guidance and Illustrations

- i General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

- 926-605-55-1** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 926-605-55-2** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 926-605-55-3** Paragraph superseded by Accounting Standards Update No. 2014-09.

- 926-605-55-4
- Paragraph superseded by Accounting Standards Update No. 2014-09.
- 926-605-55-5
- Paragraph superseded by Accounting Standards Update No. 2014-09.
- 926-605-55-6
- Paragraph superseded by Accounting Standards Update No. 2014-09.
- 926-605-55-7
- Paragraph superseded by Accounting Standards Update No. 2014-09.
- 926-605-55-8
- Paragraph superseded by Accounting Standards Update No. 2014-09.
- 926-605-55-9
- Paragraph superseded by Accounting Standards Update No. 2014-09.
- 926-605-55-10
- Paragraph superseded by Accounting Standards Update No. 2014-09.
- 926-605-55-11
- Paragraph superseded by Accounting Standards Update No. 2014-09.
- 926-605-55-12
- Paragraph superseded by Accounting Standards Update No. 2014-09.
- 926-605-55-13
- Paragraph superseded by Accounting Standards Update No. 2014-09.

926 Entertainment—Films

705 Cost of Sales and Services

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

926-705-00-1

The following table identifies the changes made to this Subtopic.			
Paragraph	Action	Accounting Standards Update	Date
Revenue	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
926-705-25-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 926-705-05-1** This Subtopic presents the accounting by entities in the film production and distribution industry for costs incurred to manufacture or duplicate products held for sale, such as videocassettes and video discs.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

- 926-705-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [926-20-15](#).

20 Glossary

- General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Film Prints

Those materials, produced on behalf of a film distributor for delivery to a theater or other similar venue, that contain the completed audio and video elements of a film. Such materials are used by the theater or other similar venue to exhibit the film to its customers.

25 Recognition

- General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

- General Note for Fair Value Option:** Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Costs of Products Held for Sale

926-705-25-1 The costs of producing a film include manufacturing costs. An entity shall charge manufacturing or duplication costs of products for sale, such as videocassettes and digital video discs, to expense on a unit-specific basis when the related product revenue is recognized.

> Theatrical Film Prints

926-705-25-2 An entity shall charge the cost of theatrical [film prints](#) to expense over the period benefited.

926 Entertainment—Films

720 Other Expenses

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

926-720-05-1 This Subtopic addresses the accounting by entities in the film production and distribution industry for certain compensation and other costs incurred to develop and [market](#) a film. Those costs include participation and [exploitation costs](#).

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

926-720-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [926-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Exploitation Costs

All direct costs (including marketing, advertising, publicity, promotion, and other distribution expenses) incurred in connection with the distribution of a film.

Market

A distribution channel within a certain territory. Examples of markets include theatrical exhibition, home video, pay television, free television, and the licensing of film-related products.

Overall Deal

An arrangement in which an entity compensates a producer or other creative individual for the exclusive or preferential use of that party's creative services.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Overall Deals

- 926-720-25-1** An entity may enter into an [overall deal](#) arrangement. An entity shall charge the costs of overall deals that cannot be identified with specific projects to expense as they are incurred over the related time period.

> Exploitation Costs

- 926-720-25-2** An entity shall account for advertising costs in accordance with the provisions of Subtopic [720-35](#).

- 926-720-25-3** All other [exploitation costs](#), including marketing costs, shall be expensed as incurred.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Exploitation Costs

- 926-720-50-1** An entity shall disclose its methods of accounting for [exploitation costs](#).

926 Entertainment—Films

835 Interest

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

926-835-05-1 This Subtopic addresses the accounting and reporting by entities in the film production and distribution industry for interest costs incurred in the production of a film.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

926-835-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [926-10-15](#).

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Film Production Interest Costs

926-835-25-1 An entity shall account for interest costs related to the production of a film in accordance with Subtopic [835-20](#).

926 Entertainment—Films

845 Nonmonetary Transactions

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

926-845-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Revenue	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
926-845-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
926-845-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
926-845-25-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

926-845-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

- General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

926-845-15-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

20 Glossary

- General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

- Editor's Note:** All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

- General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

926-845-25-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

926 Entertainment—Films
855 Subsequent Events

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

926-855-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Film costs	Superseded	Accounting Standards Update No. 2012-07	10/24/2012
Films	Superseded	Accounting Standards Update No. 2012-07	10/24/2012
926-855-05-1	Superseded	Accounting Standards Update No. 2012-07	10/24/2012
926-855-15-1	Superseded	Accounting Standards Update No. 2012-07	10/24/2012
926-855-35-1	Superseded	Accounting Standards Update No. 2012-07	10/24/2012

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

926-855-05-1 [Paragraph superseded by Accounting Standards Update No. 2012-07.](#)

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

926-855-15-1 [Paragraph superseded by Accounting Standards Update No. 2012-07.](#)

20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

- i Editor's Note:** All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Subsequent Events

926-855-35-1 [Paragraph superseded by Accounting Standards Update No. 2012-07.](#)